

U.S. Apparel & Specialty Retail

Nike and Adidas: Pou Sheng - June revenue down HSD%



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Nike and Adidas' biggest China wholesale partner, Pou Sheng, reported a -8.6% decline in June retail sales. ~80% of Pou Sheng's China sales are from Nike and Adidas products. June further declined following a negative May and off of an even weaker June 2025. It was also the weakest month of CY Q2, rounding out a quarter that was down 3.4%. Revenue also remained below the pre-covid average. On a two-year stacked basis, June's result is the worst result since June 2025, driven by the DD% YoY June 2025 decline. YTD Pou Sheng growth is -2.1% YoY, which is better than the prior two years to date.

Parent company Yue Yuen's revenue growth deteriorated sequentially, with June revenue down 11.8% YoY. Yue Yuen is the world's largest Sportswear manufacturer, working with Nike, Adidas and other Western brands. The June growth rate was worse than May, and against a tough comparison from last June amid uneven but stronger comparisons from the first half of 2025. Regarding the global sportswear landscape and macro conditions, in Q1 Mgmt said, *"Reciprocal tariff-related challenges, inflation pressures and uncertainties around the macroeconomic trajectory may continue to weaken consumer momentum. Multiple factors may lead to volatile sentiment, with near-term order demand expected to remain fluctuating. The Group will continue to closely monitor developments in the global economic and political environment, as well as the potential impact of recent regional conflicts on delivery timelines and the stability of raw material supplies."*

Read across for Sportswear: China demand remains muted. The negative YoY growth and two-year stack in June continues the trend of generally weak results seen this year, suggesting no structural improvement yet, and Yue Yuen remains mostly negative and volatile over the past six months. The trade / tariff / macro landscape also remains uncertain (which could challenge employment and demand locally), and disruptions in the Middle East can create further headwinds through raising energy prices and disrupting shipping.

Other recent work on Nike and Adidas:

[Nike Q4: Quality over Quantity](#)

[Nike: Goodbye, Friend - CFO transition, Q4 guide confirmed](#)

[Global Sportswear: State of the sector in China](#)

[Nike and Adidas: Pou Sheng - May growth negative after flat April](#)

[Adidas: Takeaways from CFO fireside conversation](#)

[China Sportswear Online Monitor: April slowdown, leaders diverge](#)

[Adidas: Performance is performing - not just a Lifestyle brand](#)

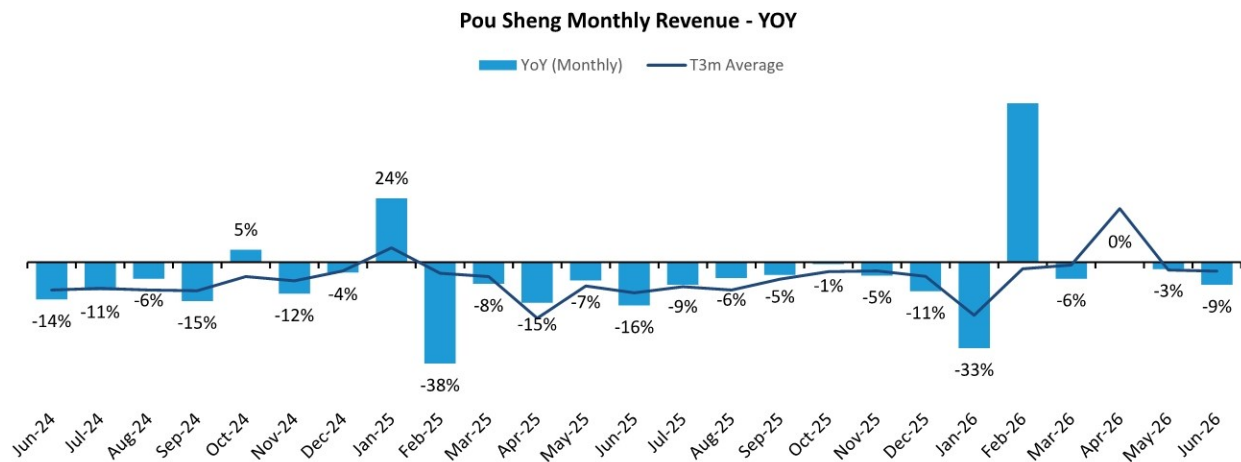
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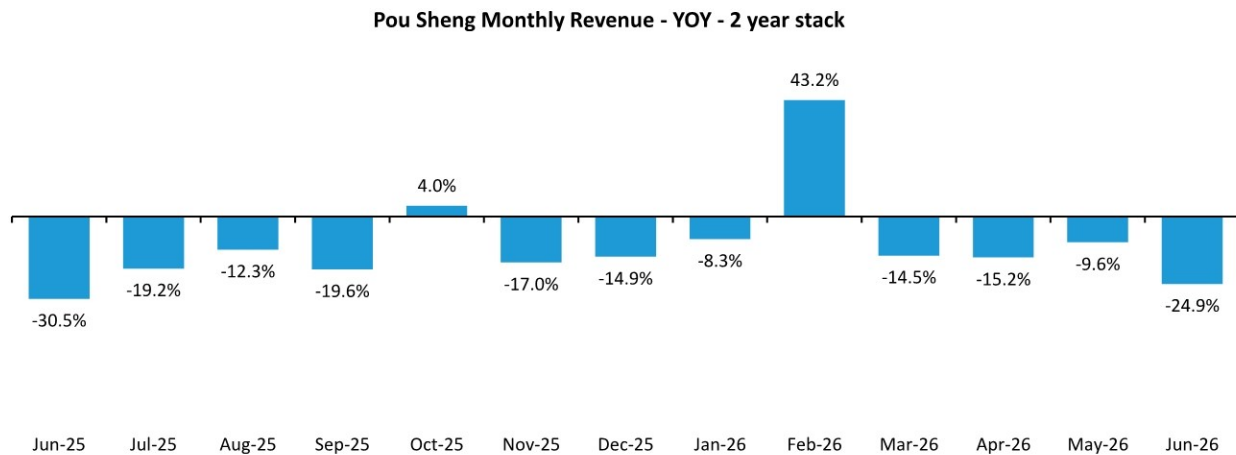
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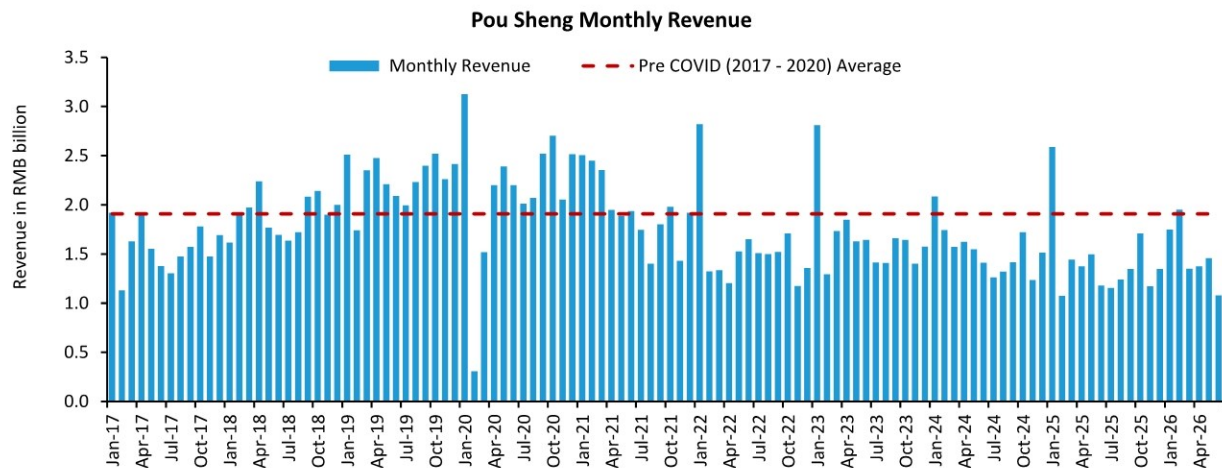
EXHIBIT 1: **Pou Sheng June sales growth was weaker than May**



Source: Company disclosures, Bernstein analysis

EXHIBIT 2: 2Y stacked revenue was down 24.9%, continuing the generally negative trend over the past two years

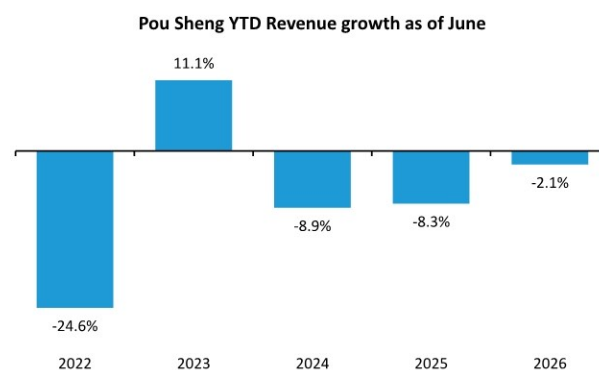
Source: Company disclosures, Bernstein analysis

EXHIBIT 3: Last month's revenue was below Pre-COVID levels

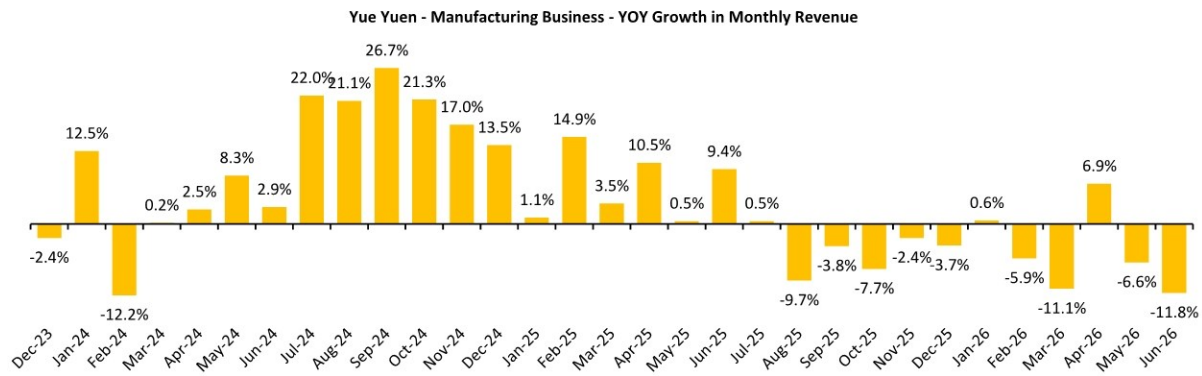
Source: Company disclosures, Bernstein analysis

EXHIBIT 4: The June 2026 result makes it 6 years of consecutive revenue declines in the month

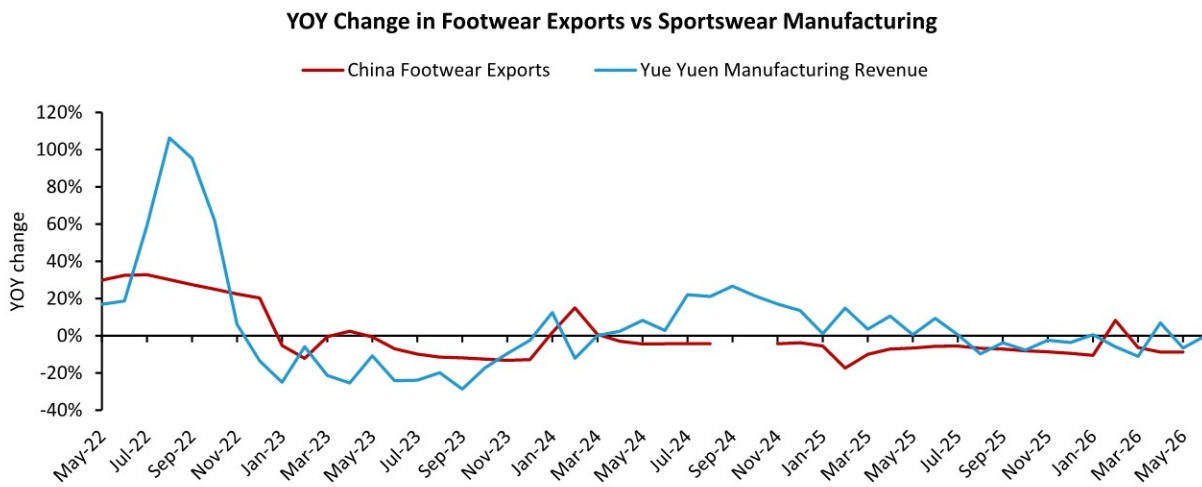
Source: Company disclosures, Bernstein analysis

EXHIBIT 5: Despite being negative, Pou Sheng's YTD growth is improved vs prior two years

Source: Company disclosures, Bernstein analysis

EXHIBIT 6: Yue Yuen manufacturing monthly revenue growth deteriorated sequentially in June

Source: Company disclosures, Bernstein analysis

EXHIBIT 7: YoY manufacturing growth remains volatile while China footwear exports run at -HSD%

May China footwear exports were -9%. Data reporting is not as consistent as Yue Yuen

Source: General Administration of Customs - People's Republic of China, Bernstein analysis

INVESTMENT IMPLICATIONS

We are Outperform rated on NKE and ADS.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	9 Jul 2026	Price	TTM	Reported EPS				Reported P/E (x)		
			Closing	Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
ADS.GR (adidas)	O	EUR	181.35	245.00	(30.7)%	EUR	7.46	9.71	12.45	24.3	18.7	14.6
ADDYY (adidas)	O	USD	103.80	132.50	(36.7)%	USD	4.21	5.76	7.39	24.7	18.0	14.0
NKE (Nike)	O	USD	42.78	72.00	(63.1)%	USD	2.10	2.10	2.67	20.4	20.4	16.0
EDME			1,593.15									
SPX			7,543.64									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

NKE base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**adidas AG**

We set a €245 (\$132.5) price target using a P/E multiple of 20x against our forward FY2027 EPS estimate of €12.45.

Nike Inc

We set a \$72 price target using a P/E multiple of 27x our forward FY2028 EPS estimate of \$2.67

RISKS**adidas AG**

Downside risks: • Slower growth in Sportswear overall, comping against strong pandemic growth • Loss of brand heat from overdiscounting and/or over-distribution • Pressure on margins as a result of inflation, freight, channel costs, or other opex headwinds • Risk of interruption from concentrated supplier base

Nike Inc

Downside risks: • Slower growth in Sportswear overall • Slower recovery of Nike in China, and continuing loss of market share • Pressure on margins as a result of inflation, freight, channel costs, or other opex headwinds • Share loss to competitors in key markets including North America • Risk of interruption from concentrated supplier base

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

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- **Underperform (UP):** The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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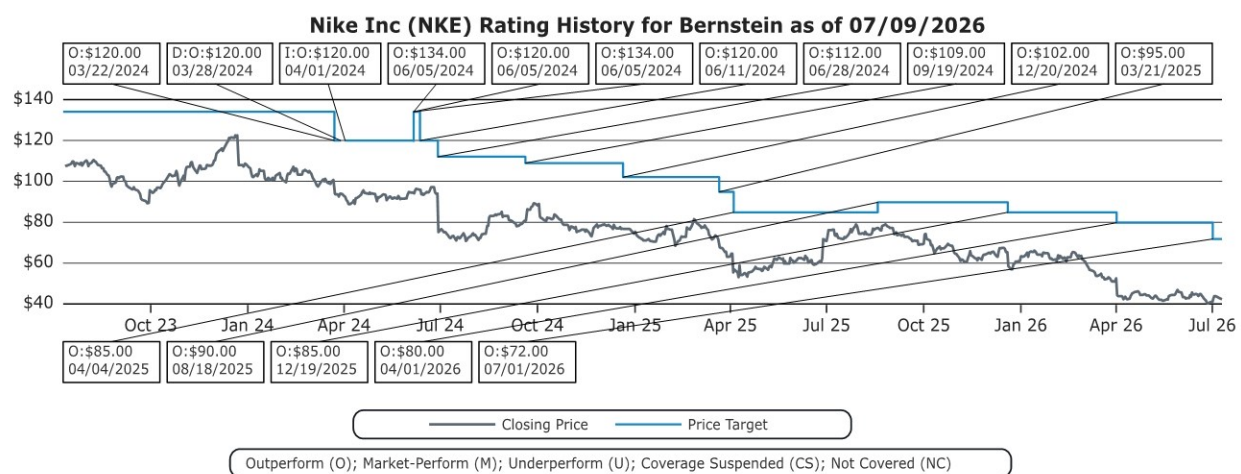
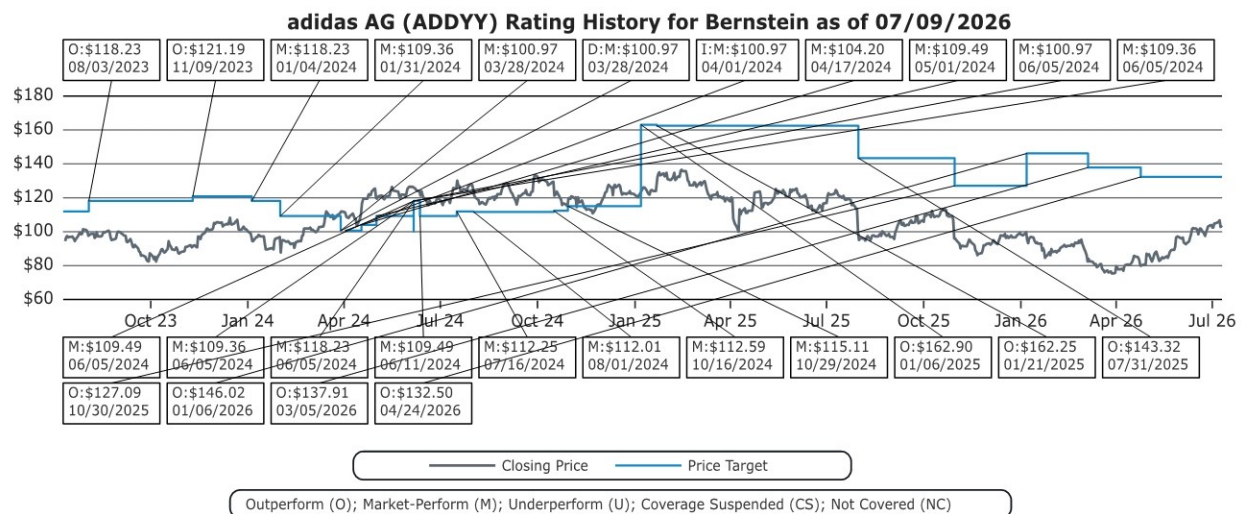
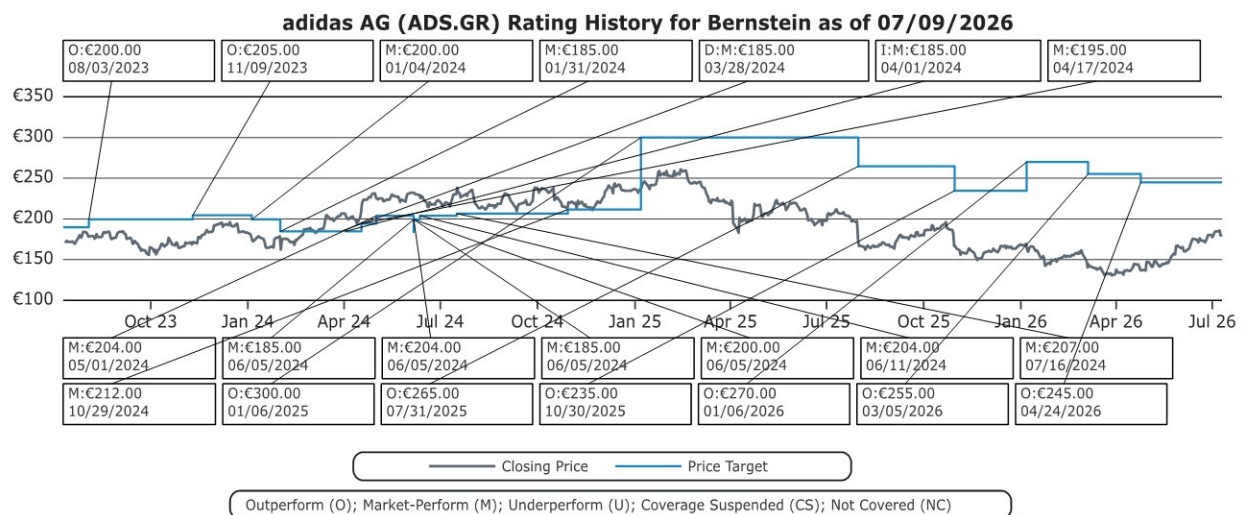
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Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

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